2.1 Introduction

Some organisations are established for the purpose of rendering services to the public without any profit motive. They may be created for the promotion of art, culture, education, sports, etc. These organisations are called not–for–profit organisation. Charitable institutions, educational institutions, cultural societies, sports and recreation clubs, hospitals, libraries and literary associations are some of the examples of not–for–profit organisations. They are also called as non–profit organisations or non–trading concerns. They raise funds through donations, grants from government and subscriptions from their members and so on. These concerns must also maintain proper books of accounts. They must account for all cash receipts and payments. At the end of each accounting year, they must also prepare final accounts to ascertain the surplus or deficit and financial position.

2.2 Features of not–for–profit organisations

Following are the features of not–for–profit organisations:

1. Not–for–profit organisations are the organisations which function without any profit motive.
2. Their main aim is to provide services to a specific group or the public at large.
3. Generally, they do not undertake business or trading activities.
4. Their main sources of income include subscription from members, donations, grant-in-aid and legacies.



Student activity 2.1

Assume you want to start a drama club. What is the procedure to start the club? Give a name and design the logo for your club.

At the end of the accounting period, the following final accounts are prepared by not–for–profit organisations:

(i) Receipts and payments account,

(ii) Income and expenditure account and

(iii) Balance sheet

Not–for–profit organisations registered under Section 8 of the Indian Companies Act, 2013 are required to prepare their Income and Expenditure account and Balance Sheet as per Schedule III to the Indian Companies Act, 2013.

Note: In this unit, only the not–for–profit organisations not registered under the Indian Companies Act, 2013 are dealt with. Hence, Income and Expenditure account and Balance Sheet are not prepared as per Schedule III of the Indian Companies Act, 2013.

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